SI420: The Market Might Be More Fragile Than It Looks ft. Cem Karsan

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis: The current market environment is characterized by an artificial stability maintained by a coordinated policy strategy between the U.S. Treasury and the Federal Reserve ("Kabuki Theater") designed to suppress bond yields and support equities despite structural inflationary pressures from debt rollovers and geopolitical conflict. This system relies on an AI-driven Capital Expenditure (CapEx) bubble where earnings growth is driven by accounting mechanics rather than organic efficiency, creating a highly fragile market environment. While the administration may use political maneuvering to prevent an immediate crash, the long-term trajectory points toward a necessary correction in bond yields or equity markets to justify further monetary debasement and sovereign wealth fund interventions to offset China's economic dominance.

2. Key Arguments & Data:

3. **Refinancing Shock:** Debt issued during 2021 with a 5-7 year maturity peak in 2026-2028 creates significant refinancing pressure, driving long-end bond yields up.
4. **Yield Targets:** Bond yields are projected to rise further to 5-6% before potentially snapping back; current expectations suggest a potential "V-bottom" in bond pricing within the next three months to support capital markets.
5. **Earnings vs. Market:** Earnings growth is driven by the AI hyperscaling sector's CapEx and accounting depreciation rather than real productivity. Market performance drives earnings figures, not vice versa. The entire economy has shifted from 27% earnings growth in 2000 (tech bubble) to current levels supported by capital inflows.
6. **Inflationary Forces:** Structural inflation is driven by global conflict (Strait of Hormuz closure), debt rollover needs, and energy scarcity, not just demand-side growth. The U.S. must inflate its way out of the debt crisis.
7. **Political Fragility:** 45% of S&P 500 companies have negative beta, indicating systemic fragility. Potential for a contested election

(potential manipulation concerns regarding mail-in ballots) adds risk, which may be priced in options but is currently "way too cheap."

8. **Fed/Administration Alignment:** Powell and Treasury Secretary are effectively aligned to support the dollar's strength ("Don't fight the Fed"). The administration seeks to monetize debt through a Sovereign Wealth Fund model (public stock ownership) similar to Japan/Norway.
9. **Trend Following Performance:** As of September 25, SOGE CT Index up 4.2% and 15.8% YTD; SOGE trend up 4.45% and 16% YTD due to short positions in fixed income.

10. **Equity Volatility:** Implied volatility for market events is increasing but remains priced very cheaply relative to systemic realities. A 25-40% equity decline is a potential outcome if capital flows dry up.

11. Actionable Takeaways:

12. **Diversify Beyond Equities & Bonds:** Do not rely solely on traditional asset classes as they will likely fail to hedge against structural inflation and bond yield resets. Investors need exposure to uncorrelated sources of return.
13. **Prepare for Debt Debasement:** Actively manage the risk of significant money printing required by the administration to support the market; expect this to happen via a sovereign wealth fund model rather than bailouts.
14. **Monitor Political Signals:** Watch the trajectory of political control (especially regarding Midterms) and China's economic moves as primary early warning signals for market instability.
15. **Consider Options Skew:** While risk appears cheap, implied volatility on major events has been rising; investors should be aware that the skew is popping and pricing in tail risks below their current perception.
16. **Hedge Structural Inflation:** Recognize that inflation is inevitable due to geopolitical and debt constraints; strategies must account for potential double-digit inflation scenarios rather than expecting low-rate normalization.
17. **Maintain Short-End Positioning Bias:** Current trend following data suggests short positions in bonds are currently profitable due to

repricing expectations, but this may reverse as yields hit the 5-6% range where market dislocation is expected.

Full Transcript

We have a deal two weeks. It's gonna be signed Meanwhile Iran everybody else is like what are these guys talking about? It is all a charade guys. It is all very orchestrated and the V bottom is a feature It is not a bug you guys are hedge fund managers. He's literally saying Welcome to top traders unplugged in markets success doesn't come from predicting what happens next and It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence.

Welcome back to Top Twitter's Unplugged, where each week we take the pulse of the markets from the perspective of a real space investor. It's Alan Dunn sitting here for in for Niels again and allowed to be joined by Gem. Gem, how you doing? How's it going in Chicago? Great. Good to be here in Chicago in the fall. We just had a Monday night football Bears victory. The Cubs are in the White Sox are in the playoffs. So like this is when when sports are going on Chicago. There's the Midwest. People are very happy. So things are good here. Good stuff. Well, it sounds like a good time to be in the Windy City. We have, as usual, loads to talk about. We're recording a little bit earlier this week. We're recording on Tuesday ahead of Saturday release. So there could be plenty of market movement, but this comes out. So keep that in mind.

But as ever, there is a lot to get through. Would you like to start off by asking what's been on your radar of late? Man, you know, like there are times when your radar you look and there's there's not there's nothing on, you know, nothing in the sky. And this is like, I feel like we're air traffic control. It's like every two seconds, there's a there's a new military jet, new, you know, freight. freight, something new coming into the monitor constantly. But maybe the biggest new thing coming into how onto the radar in my mind is not just what the bond market's doing, but what the what percent is starting to signal. You know, I think there is a boiling of the

frog situation happening where they're really, you know, the three, six, nine billion of buybacks really doesn't move the needle and he knows it. It is a really important signal that they will do whatever it takes to hold down that long end of the curve, ultimately. And so I think that's the thing that people are whistling by the graveyard on. Generally, it will take a tantrum right before the bazooka comes out. He doesn't want that tantrum to happen yet.

But I would prepare, and I think we'll get into this more as we get back to the show for a tantrum and a response. Okay. Interesting. Yeah. Well, for a long time we talked about the big bazooka in Europe. I think it was Mario Draghi who was rolled at the big bazooka first, but that certainly won't do. He didn't say, I'm the house now. He didn't say, I'm the house now. No, no. But similar energy. Whatever it takes were his immortal words. Well, listen, we have a lot of macro themes to get through. So I think maybe it naturally makes sense to just to give a quick update on performance in the trend following space before we get to that. As I say, we are recording a little bit earlier this week. So as of the 25th of September, which is still the end of last week, SOCGEN CT index is up 4.2 percent and up 15.8 percent on the year and SOCGEN trend.

up 4.45% and up 16% on the year. So obviously playing out to be a very good year in the trend space. And this month very much the story has been short positions across the fixed income space, not just the long end and not just the US, but very much across the whole universe. And the short end significant repricing there. So that's very much been the story of performance in the last couple of weeks. not a whole lot to add there in terms of performance but suffice to say shaping up to be one of the stronger years for the index in the last, I was chatting to Nick Balthas, I think he was making the point, it was maybe the third strongest in the last 10 years or so. So all good from that perspective. But you did mention the bond market and obviously we've continued to hit new highs in terms of yield today. The trend is very much intact and if anything, the momentum is increasing. I mean, I was saying to Nick last week, it's been very interesting to me, the amount of heated debate I've noticed around like what's driving this as a competition for capital, as a growth, as an inflation. You know, previously it was the debasement kind of concerns. Growth seems to be the primary

driver. I mean, from your perspective, what's your framework for viewing this rise and yields? I mean, what is not driving?

Yeah, okay. Maybe that's a better way of phrasing it. Yeah. Let's make a, let's, there's a laundry list. Let's go through it, right? First, and I think this is like 101, everybody refinanced in 2021, right? Go look at the numbers. And by the way, do you know anyone who didn't refinance in 2020 or 2021 or take out as much debt as they could? Because if you don't, You know, you don't have a lot of smart friends. The truth of the matter when interest rates are zero, people borrow. And the average duration of that debt is five to seven years. That's sovereign, that's corporate, that's private in all kinds of ways, right? Real estate obviously. Let's do some simple math. 2021 plus five to seven years is when? 2026 to 2028, okay?

So this is what happens, by the way, if you have something that has a 5% yield, a business you invest in and you borrow it at 2.5. That's pretty good. Pretty happy for the last five, six years. Now, borrowing is 7.5. You have a decision to make. Do you go borrow more and keep those as a negative yield now? Do you sell the 5% asset? Right, by the way. Those things are not doing well. This is how the world works. It's not rocket science, right? So there's a lot of malinvestment out there. There's a lot of refinancing that's happening. And so outside of the AI complex, which we'll get to, things are not so bueno. There's a lot of just malinvestment liquidation having to be rolled over. And guess what? There's a lot of having to kind of refinance and come to the market at higher rates, which is a supply and demand and balance.

All right, that's 101. Let's keep going. Is there anything going on in the world? Any reasons inflation might be coming down the pipe? Obviously, we've talked about this since 2020, 2021. When we get to populist environments, we go to protectionism, and then protectionism leads to what? Global conflict. Here we are, 22. We had Russia, Ukraine, well after we started talking about that. Here we are in the Middle East in Iran. Strait of Hormuz is not opening. I have now talked about this for nine months. Everybody was like, but we're going to get a deal. Look, we got a deal. There's no deal. Strait of Hormuz is not opening. Probably ever, or at least for like years and years and years, ever is allowed. And by the way, Bassent

told you it's not opening. Go listen. We're just going to reroute everything out of it.

And why? Because it's all about control of trade for controlling the absorbent privilege of the US dollar. That's what that word's about. It's not about nuclear weapons. It's not about Israel. It's not about all the other things you hear about. It's about the real most important thing on the world when it comes to power. The golden rule. He who has the gold makes the rules. US. Controls exhorted privilege of the US dollar so it can print at scale and do it. We'll get to later in the show going to do Okay, but with that in mind that Distraver moves is not hoping opening four years Which I've been yelling from the mount tops on every podcast everybody a listen for now since the beginning of that war Right, that's not good for inflation and that's not just bad for inflation. That has a lag which creates more and more Problems energy is the root to every pretty much everything including by the way the AI tree Okay, so two structural inflationary forces Three Given the debt issues that the US has It's also trying to roll over its own debt. That's part of that rollover that we're talking about right? How are we gonna get out of this again? We'll get to this later the show the basement everybody knows it. It's not like surprising And by the way, the sense showing you and telling you, this is the great irony, by doing buybacks, by intervening in the yen, what's actually happening. He's telling you they're going to print right money. And yeah, that is good for like a supply and demand if and when he does it by force. But that is a debasement. That's debasement at score. That doesn't exactly engender confidence, right at the long end of the curve. So counterintuitively.

The realization that we're going to debase the money, which eventually will hold down the longer the curve by force, drives a debasement fear, which leads to the third problem, which is less international demand. Nobody wants to own US debt internationally because of the debasement trade, because of what the US is doing, and because of the general way it's doing it. So we're losing foreign buyers. That's not good for supply and demand. And then, right, we happen to have another thing happening that's demanding a lot of debt on its own, which is the CapEx investment. So all the private demand for, you know, all this yield, which is quite, interest rates are quite high, right? And is softly backed by the U.S. government, by

the way. The U.S. is, you know, basically got September 25, what do we do? We got a bunch of guys around the table.

and said, dear leader, I'm going to do 600 billion of CAPEX. Dear leader, I'm going to do 400 billion of CAPEX. Dear leader, I'm going to do 400 billion by 2028. Why 28? Because that's when they're getting reelected. And so, and very well documented, there's a reason they're flying on planes to China when we go to China together. There is a complex here where the AI businesses and the hyperscalers are working with the administration. really driving massive debt in order to drive this capex, which is driving earnings, which is driving the market, etc. But the cost of that is what? The cost of that is there's competition for capital. You could call it an earning story, but it's really competition for capital, right? And so this, and you're seeing it, by the way, in credit default swaps, and you're seeing like there are massive risk coming, but there is a massive demand for debt.

Right because the way we're driving this concentrated CapEx story in the AI is that great and more of it so So the basement crowding out from from the CapEx story less international demand Inflation coming from straightforward moves and global conflict and then just 101 the refinancing of all the debt that was taken five six years ago So I don't know what what's not causing it to happen The thing I found interesting, I mean, I agree with all of those kind of longer term structural factors. It's also interesting how much the market has shifted in terms of short end pricing. I mean, two year yields have gone up, I think about 90 basis points since the middle of August, which seems a lot. I mean, if you consider going into the last FOMC meeting until we had the CPI print, it was, oh, they might, they might not.

Then the CPI came out closer to 0.3 to 0.2. Then it was a done deal. Now they're hiking four times in the next year. So we've had this huge shift in expectations at the short end as well. Maybe so much justified. Maybe it's the realization that the sort of our moves is going to stay short. Artist's CapEx expansion will continue. But I mean, what's your perspective on that repricing? My perspective on all of the Fed kind of Kabuki theater. is, first of all, let's just step back for a second. Literally the meeting before last. Worst came out and sided with the doves and that like projected that we

were gonna have, you know, no structural inflation and that we should be worried about. Then we got CPI which showed, you know, in their numbers that inflation was slowing. And then he came back and you know, projected into weakening dollar and all the issues, right? A conservatism ejects a hole and then followed up with this very hawkish kind of projection. What changed? Why? What happened? And in my view, it is, first of all, we all know and said as well that raising these interest rates in front of the curve has zero effect on inflation.

This is a supply-side inflationary story. This is not a growth inflationary story that we're experiencing. And you are not going to slow inflation by raising rates. So why do I do this? Well, what happened when the US did this? Well, dollar strength, cold weakness. This is the whole game. If you want to be Japan, And you want currency strength, and then you want to be able to print at, you know, print a gazillion dollars. You can't look like a banana republic. So you cannot have Warsh and Besent, despite as much as they are 110%, you better believe one and the same, there's zero independence. They come from the same school of hedge fund managers. That's not a coincidence. Besent, by the way, I want to be clear, Warsh is...

father-in-law is literally college best friends with Trump. There is no light between the administration and the Warsh, but the perception has to be, you need breaks on that race car. If you are going to try and control, imagine you are in control of trying to navigate what the US is going to try and navigate, which is printing money at scale to drive money into its own economy. At scale, I'm not talking about like a trillion dollars. I'm talking about tens of trillions of dollars. You better have a project Kabuki theater like that the Fed is independent. And when important, when needed, raise a quarter, do whatever, right? That you need to help manage the circumstances. There's a reason the two of them Warsh and Bascent are seen again and again, flying on Air Force One together from like, This is not like a casual like Powell, like we had our quarterly meeting. I went to the Oval Office for 45 minutes. This is like, they are continually, and by the way, if the U.S. is trying to pull off what it's trying to pull off, this is not like business as usual. They're both in it not for anyone else, they're in it for the U.S. If you think the Federal Reserve of the United States is in it for fairness and that everybody is better off.

I got some beach property in Arizona to sell you. It's not how it works. So from my mind, long with the way of saying Kabuki Theater, I would not put too much into it. It achieved its primary goal, which is to create an appearance of independence, of a wash, to strengthen the dollar in the short term, and to drive an ability to now. navigate what's coming and we'll get to that more and more at the other show. Going back to bonds and everybody's been talking about the bond equity relationship. I mean obviously we've had that shift in correlation that's one dimension to it, but I guess more importantly there's a sense in markets. We have seen historically periods of time where we've had rising bond yields and equities have held up.

And then you have, you know, at some point you reach a tipping point and equities can adjust. I mean, it's not always the case, but we've definitely seen that before, you know, Q4 2018, for example, 1987 is the classic example, although that's extreme, you know, yields at 10% in the stock market. Let me just jump in now. That's not where we are. Yeah. And let me tell you why that's not where we are. we have the most concentrated earnings growth and economic, not to mention market allocation rate to, you know, in the history of markets, not like 10, 20 years, literally like 100 years of market history. And Carlisle, he did a wonderful report, which I encourage everybody to go read.

that really dismisses this idea that the earnings growth that's coming from all of the, by the way, where it's coming from, all the AI complex. There's literally zero to negative earnings growth everywhere outside of the AI complex. Yet we're seeing what looks like a tremendous burst of earnings growth year-over-year. And people are justifying these record valuations, by the way. When I say record valuations on a, adjusted for the, the 10-year bond, which is how you need to look at valuation, because that's the discount rate, valuations have never been higher ever, like tech bubble is lower. And depending on what metric you're looking at, definitely close. So there's no debate there. The way people are justifying that is saying, look at this earnings growth and projecting that earnings growth into the future. Like we have an AI revolution, the earnings are going to sustain.

Hate to tell you that's not how it works and people have done the math and if you go read it It's very clear all of it a hundred percent of the earnings

growth is not just coming from this complex The reason it's coming from this complex can be counted for by two major forces One is when anthropic and all these companies go from three hundred eighty billion to two trillion dollars Those gains get marked as earnings. Sure so revenue in day one That's not earnings. That's not I mean they they keep going to infinity But that's literally the definition of a bowl number go up and it's happening where it's happening all in that very concentrated space and Then Wednesday the when anthropic all of a sudden that's two trillion dollars sitting in its pocket. No earnings but What does it do with that? Well, it's got to go do catbacks and by the way, dear leaders tapping on the shoulder all the heartbreakers saying go spend that money and not like, you know, not like, it's go spend that money, or I'd hate to see what happens, you know, to that car outside. You know, so that CapEx is, there's lots of charts, which I could share if we had the ability to here that show that cash, operating cash is doing one of these of those businesses. And income, non-cash accounting earnings is doing this. And so it's not just that, Again, it's a sugar boost as well there because that capex is earnings because you can now depreciate that capex. And so taking all this depreciation, they're doing all of this accounting for all these gains, but I hate to tell you if the market goes down, it's not like we stopped that earnings growth. It actually goes the exact opposite way. It's not real sustainable earnings growth unless the market just keeps.

doing its thing. So it's not like the earnings is driving the market. The market is driving the earnings. But it's suspending the spending that's driving the earnings. Is that not fair? Which is now coming from where? Where is that liquidity coming from? It was operating cash flow. We just went from 250 trillion of equity valuation. In April and May of this year, in two months, it went to 300 trillion. What is that that 50 trillion dollars? I'm telling you the majority of it is showing up as earnings That's gonna drive some pretty good earnings growth about 20% yeah, right and so Again, this is not just me. You can go read the Carlisle report that breaks us down and into a detail But but the fact that we paint this as somehow a sustainable level of growth that's somehow connected to an AI revolution. It has nothing to do with the efficiency coming from AI. It literally has nothing to do with the efficiency coming from AI. It has everything to do with the capex spend that's coming from the investment bubble that's being inflated.

By the way, this financialization of the market, it's hard to even compare this to the 2000 tech bubble because the market is way bigger relative to the economy.

And so the effect on the whole economy is literally a 5x relative to where we were in 2020. I mean, in 2000, I said 2020 in two bills. In 2000, though, similar effect just to a much lesser extent. What was earnings growth in 1999? Any idea, Alan? You're on year. Year-to-year, 27% earnings growth. You think that's a coincidence? Where was earnings growth in 2000, 2001? What was it? Was it the market driving the earnings or was it the economy driving the market? This is what bubbles do. This is why bubbles exist. And by the way, there's always, always a justification for the bubble which somehow points to earnings because those earnings are coming from the bubble. So it's always an argument that the valuations are justified because of the earnings growth. That is how a bubble literally, and it structurally works, but we continue to do this very simple, stupid kind of human math that like we project like this earnings growth is real. It's not real. The question is, how does it end? I mean, just because there's a bubble doesn't mean it ends in a year or two, by the way. What are the catalysts? I suppose that that comes to my point about, I mean, I don't think yields are going to dissuade 50 base months, right? Was yields that cap expand? But what is the thing that that that that I suppose slows the trajectory of growth of the capex. So this is the critical thing for people to understand. People think tolling at a bubble and not telling me what it's going to pop is worthless. It's not worthless because what's important is to understand the fragility under a system because investing is not just about returns, it's about risk relative to returns. And the fragility of the system by definition because we are so concentrated, so focused on one thing. This is not broad-based economic growth. This is not diversified, you know, like healthy growth. This is dependent on the equity market itself and the investment that's driving into this part of the complex based on that growth. Okay. By definition, that creates fragility.

So what I'm telling you is this is fragile. It does not mean that it's not an elastic situation where things can go up big before they go down. That can happen. But understanding that distribution allows you to bet on the outcomes that are not just up-down. Everybody is still, not everybody, but

the majority, let's say 98% of the world is still playing into the world. But, Jim, is it going up or down? You know why they do that? Because it's easy. No, nobody wants to think. We have these incredible tools are liquid. It's we can do much better. We're literally on a podcast called the systematic investor, right? Which is think about distributions, think about the risk and the different sets of outcomes that are out there and let's position accordingly based on that distribution. No, but I mean, I think it's fair.

To say that for the majority of people, their portfolios are going to be impacted as to how long this is sustained. I mean, equity risk dominates most portfolios. As you say, the equity risk is primarily being driven by this one team. You know, hyperscaling spending is going to be 800 billion this year. It's supposed to rise to over a trillion in the next few years. Will that happen? Does that sustain us? Do we need to watch the second derivative, the third derivative? I suppose they're the things that investors need to grapple with to think about what are the signposts for that this is starting to unravel. So let's get to the signposts. That's fine. If fragility exists explicitly in this very narrow part of the market, everything depends on this one part of the market which is driving this fragility. We should probably focus on that part of the market because the rest of the market is in a different, it's a completely different characteristics. I think there was a recent piece you mentioned, I think before we talk, talking about what percentage of the market has a negative beta. I think the number is like 40, 45%. 45%, yeah. 45% of the S&B has a negative beta. Think about that. There's no better sense of fragility. What's driving? Well, it's one thing, one very fragile thing.

And so the question is, will there continue to be massive investment into this piece? And where is that going to come from? Who is going to support it? And if markets decline, how is it going to happen? And now there's the good news. The government seems to be intent. And I think this is why the bubble ultimately exists, is I think there's a lot of, hey, we got your back, keep going. Hey, Larry Ellison, really close friends with the Trump administration. Take as much depth as you need because the worst case, we will bail you out. We have your back. So that, in my opinion, and again, you saw it in September 25 when they sat around a table, you've seen kind of what's happening here. In my opinion, that's a big reason for why we are

here and why They're willing to take the level of debt they are to invest in the stuff. It's not just the promises of AI, right, and being left behind. Yeah, there's some of that. But to the scale at which this is happening is, in my opinion, very much driven by administration forcing the issue, and it will more explicitly back it if and when it's a problem. And that's the goodness. Assuming you think the administration has The ability and the power to control all of this which there's a reason we say don't fight the Fed Historically, you know us is the biggest entity in the world and has the power historically to tell you know as in the words of a percent I'm the house now Right to be the house and so they are going to do everything they want to Or need to as they feel that the question is in a world with China that is, you know, nipping on their tails and really intent to disrupt what they want to do, which I think is very important, in a world where, you know, there's internal political questions of whether Trump had all remained in control and want the same things as everybody, the other politicians in the system. There's a lot of things that are Uncertain and basically the linchpin that the cornerstone that supports all of this this bubble the the continuation of this the ability for it to not fall down It sits in the scent and increasingly Trump's hands. So it is a incredibly fragile yet currently managed proactively managed situation and so you ask me what's gonna happen, you know Imagine you have two tectonic plates and the pressure is immense and nothing's moving. It doesn't mean that the odds of an earthquake haven't increased. I'm telling you, the odds of an earthquake of a tail of it are decreasing dramatically. But as long as that administration is proactive and wants to support that, they can in the short term and will. But know that there are other entities that are also very powerful.

who would like to undermine it. And there are things that are fairly uncertain about the political control of the administration and its ability to support these things. And that is where the risk lies. You want an early warning signal? Watch the politics. Watch the ability and control of the administration if they can support it or not. Watch China. And what China is doing. And I hate to say, and this is not the same free market of five, 10, 20, 30 years ago. It is a market of immense control and immense intentional proactivity to ruling its outcomes. That's why they just brought on Zervos, by the way, into the Treasury. That's why we have a hedge fund manager in each bucket, any side of the equation. But that does not mean they have

infinite control. Well, you could say, I mean, look at this. I mean, the best since intervention was what, mid-August yields are probably...

Well, at least 50 basis points higher in the 10 years since then. If not more. Okay. He's probably done an okay job. The yen has stabilized. The dollar has gone up against the euro, against European currencies, but it has been stable against the yen. So maybe he has some okay there. But I mean, you're pointed back control and the long end, what comes next? Clearly, we've had the initial announcement around buybacks which the market has kind of quickly dismissed. The problem hasn't got any easier for the administration. So what does it do now? So let's step back again and let's look at what they have done and what can we learn about how they operate and how they maintain control when it seems like they can't continue to get the control they want. This has great effects and implications for trend following.

You know, this is no longer a free market, right? Which is they have learned and this is not tinfoil hat stuff. It's pretty obvious to me at this point. They have learned very well that there are lots of mechanically operated automated strategies that do certain things that they can use to their best fit. They can take markets down and turn trend following negative. They can turn vol. They can expand vol and create vol targeting strategies to liquidate. They can skew in the market and at the end of the day all the Vana charm flows and things I talk about come back in the market if they can expand it and then compress it. A V bottom exists for a reason. COVID was incredibly successful in terms of a V bottom. Everybody thought that was the end of the world. What did that do? They drove a massive new refresh and new bull.

Market, right? This is well understood But Senate all understand this incredibly well. I want to highlight in early 25 as soon as they came in what they do 150% tariffs everyoneing we're gonna It was new nobody knew what to expect how much do we believe them so it's easier to do right 27% decline very early on cuz guess what If you're going to take it down, when do you want to take it up? Right early on, because the midterms aren't for another two years. They took it down 27%. And then literally turned a switch on the market and said, all right, six months, nine months, we're going to put these off for a while, 10% on some people, maybe 15 other.

We'll see. V-bottom, completely squeeze the market, incredibly successful operation.

All right, you could call that one off. Maybe it was an orchestrated blah, blah, blah, blah, blah, blah. What happened this fall, this spring? Exactly the same thing. Same time, early in the year, what do they do? End of a civilization will be here tomorrow, literally implying nuclear war. And what does that do? Well, well, whoa, vol expansion, mark it down 10%. Next day, end of the quarter, day before the end of the quarter. Bunch of short game on the market because the JP Morton drew it. All the things. What'd they do? We have a deal. Two weeks. It's going to be signed. Meanwhile, Iran, everybody else is like, what are these guys talking about? It's all a charade, guys. It is all very orchestrated. And the V-bottom is a feature. It is not a bug. These guys are hedge fund managers. He's literally saying, I'm the house. Well, where is the V-bottom in Bonson?

It's coming. Okay. What's that gonna look like? It's gonna look like Somewhere between five and a half and six percent in the tenure and it's gonna be quick and it's gonna happen sometime in the next three months and Then they're gonna come and the market by the way is gonna be allowed to also come down Those two things will match at the same time. I think we're getting 25 somewhere to liberation day 25 to 40 percent in the S&P in the first two quarters of this year could come in Q4, not likely, but it's possible after the midterms. They don't want it to happen before the midterms. And when it happens, that will give them the excuse they need, much like COVID does, much like all these other crises have done, to deploy to bring the Fed and Warsh on. You know, the Kabuki Theater ends and Warsh comes on.

with massive facility at the long in the curve, like Hank Paulson, literally came out five months ago and told you, we had a coming treasury crisis. I told you five months ago. Everybody was like, talked about that for two seconds. I'm like, that's important. Do you think Hank Paulson comes out of nowhere and goes on to Bloomberg and says there's a coming treasury crisis? And we need to prepare a facility for it, like literally five months before what? And he is a little familiar, guys. We have a coming treasury crisis. Is that happening? Wake up. Everybody's liking this like, oh, this is a

free market. This is a managed market. by two hedge fund managers that have been placed there because they understand the things that I'm trying to communicate on here, that the earnings themselves are a function of the capex and driving investment directly into this channel. And that can only happen if markets go up. And the only way we can do that at this point is because there's not enough earnings coming to drive it itself. There's not enough equity to do it itself. We got to print the money. So it is hard yields that breaks the equity market, is that what you're saying?

It is at least one of the reasons. It is the coming treasury crisis that has to, that's what drives the facility of, again, you need that to happen in order to have an excuse or reason to do QE to hold a long run. But that also needs to be matched with the equity market to climb. And that's what allows you to roll out the sovereign wealth fund to buy all the equities and drive direct investment to compete with, by the way, what China has been doing for two decades. How do we drive the scale of direct investment in the US that we need to to compete with what China has done for the last decade plus. Do you think solar investment and the growth of the solar industry there had anything to do with profits? Do you think the electric car revolution that happened in China has anything to do with profits? Do you think the nuclear infrastructure build out in China has anything to do with profits? How in the world can a free market compete with that?

The answer is it can't. And so if you want to, if you're the Treasury Secretary, and you need to compete with that, and you need to drive growth, and you need to compete with China, you have one thing that is dramatically a massive leverage, a course of leverage against China and to grow out of this mess that you're in. Not too much, you need to monetize the debt. And that is exorbitant, probably to the US dollar. And by the way, that's why we're in Iran. China started trade China knows this China started to trade with Iran and you want they started to trade with Venezuela and you want Immediately after what do we do we go into Venezuela and Iran closes straight from us? Why because the Achilles heel of the US is the potential loss of these or their privilege and it's the greatest strength and and without it the Empire falls But we are a long way from QE at the moment. We are not we are not you call me on this We are within six months. Well, okay. I mean, okay six months But I mean you're talking about a 40% sell-off in the

equity market to facilitate that is that we have QE happening right now You just nobody calls it QE 9 billion and Treasury buybacks just small to start with their minus and a 60 billion dollar facility To intervene to intervene in the Japanese yeah, and the reason we haven't done it yet is because worship all what would happen would what would be the reaction now to this whole kabuki theater if Warsh came out and Just started printing money and putting a cap along with the curve would be the reaction So that's why it's not happening yet, and it feels like we're a long way away hmm, but when the administration is Basically about post midterms is ready, and it will not be past June next year because they have the 28 election happening. When they're ready, they will step away. They are the third leg of the stool. You have the macro, you got the flows, and then you have the administration and what they are doing proactively to manage the situation. And that leg of the stool is currently keeping the plate spinning, going in the midterms. But at this point, they need to take it down to take it up, and they need bigger, bigger guns, and they cannot deploy those guns without it.

You mentioned the midterms. I mean, how important are the midterms now given Trump's popularity level is so low, the general expectation, I think, is for, to say, is poor performance for Republicans more likely than not. The House and the Senate shift to the Democrats. That's broadly what markets are people expecting. But does it matter for markets? How does that impact everything? Everybody's still thinking about things from a prism of the last four years. That like elections are still just like some type of thing that has ramifications and these are free elections that happen in XYZ way, right? I think even though there is a level at which the will of the people, you know, goes far enough and target imaginative, it's not already far enough, but it's not.

to force a change, right? We are not even close to that now. And a loss in the Senate and the House on paper, in my opinion, given where we are now, regardless of these numbers, even if they're worse than they actually look, within the realm of being able to control the outcome, the administration will, you have my word, hold me accountable if they don't. will manage this election. And when I say they will, I mean the second, when do all the Democratic votes come in? Late. That's a nice little advantage, isn't it? Because they come through what? Mail-in ballots. Has there been any effort

to kind of undermine the validity of mail-in ballots? Has that happened? Anybody want to pay attention to this? You think that's a surprise?

the numbers are going to look better than expected or as good or whatever, not whatever. And then time comes time for the mail-in ballots to come and all of a sudden some mail-in ballots are not going to appear. Some mail-in ballots are going to be deemed unfair or whatever if needed. Now they're not going to do this unless they need to do it. And I'm very much of the view that this is going to be a contested election. So I don't think people are whistling by the graveyard on that. I think this is just another midterm election. This is not your your your father's election By the way, you know This isn't new anybody. This is Watergate 2.0 on steroids. They'll do whatever they need to do Okay By the way, did Trump do something else kind of similar at some point, you know, like I love that this already happened and we're like No, no, he would know I wouldn't do that So we all like to believe that this is, you know, it feels safe to assume that things are fair and things work like they used to work. It's not how it works. And for reason, this is not just about corruption. It's not about the Trump administration. It's about where we stand on the pressures in the system and the incentives that it's driving. And so my view in the midterm is, yeah, things are getting worse, which by the way, will lead to a much higher probability of a contested election here in the fourth quarter, which opens the window for whatever said decline happening sooner. And this period, which would normally not be as dangerous, which is the end of the year, becomes a lot more dangerous. What are you seeing in the options market from that perspective? Is that being priced or not? Or from a skew perspective? It is starting to be priced a little bit, but it is way too cheap. Skew is definitely popping.

but implied volatility for these events has not yet been priced. And then again, when I started talking about this a month ago, it was absolutely not priced at all. It has priced a bit more, but it is still incredibly cheap relative to the realities. In my opinion, March, January, February, March, all the way to June, vol across the board of the markets is way too cheap, particularly equity vol. And I do think that more times than not, people assume because people are thinking that there's risk there, that that's less risky. And generally, that's true. That's very much my story about flows. People are

positioned for something that's less likely to happen. And that is generally true. I would really reiterate here, given the structural realities and given that administration would want something to happen there.

Again, trust me, the Senate all turned from supportive and proactive to support the market, to let it go down, if not help it go down, for a period. It'll happen. You want to talk about, don't fight the Fed. Don't fight the, you know, don't fight them on that side. And that's what happened, by the way, in early 25. On the bond side, the move has been orderly. But what's happened from an implied perspective, I mean, indeed. Are you seeing a reaction there in response to the breakout above 5% in 10 years? Yeah. The move index is starting to increase, like the implied fall, which I think is appropriate. I think this is like a rubber band, because the more those yields go higher, I think the potential energy of a bigger reaction one way or another gets bigger and bigger.

And I do think ultimately this goes to maybe at 6% before it snaps back to goes down to 4, right? And then eventually comes back to 5, right? But I do think that the markets are pricing in this risk on this end of the curve. The realized move has not been that high, right? But, you know, this quote unquote fed put is sitting out there and they're projecting that that's going to be at six or so. And I do think that's the case. Now, I want to be clear. I don't think I think inflation, not tomorrow, but like after this refresh rate is going to scream, you know, in twenty eight. I think late 27 or the 28, we're going to get a real debasement trade like we haven't seen before inclusive of a straight of hormones, you know, a lag inflationary push. And I think that's by design because the last thing this administration wants is deflation of any kind at this point to take hold. That's the biggest risk because the debt is unsustainable and the US has to grow its way out and inflate its way out. That's the only way and it can drive that.

All of that, this is where you don't fight the scent of that. It's like, if they decide to turn the buy printer on full force and buy stocks, you know, at this point in history, they can still do that. I mean, I've heard you talk about this before, this idea of effectively money printing to buy public ownership of stocks. How does that, I mean, okay, I hear you, if we get the big equity sell-off that justifies QE, money printing, et cetera, that's plausible. Is that

where this plays out? Or how can you justify that as an administration? Yeah, it's actually going to be very popular when they do it because they're not just going to buy, it's not going to be like a quote unquote bailout.

It's going to be sold as a sovereign wealth fund, which is similar to Norway's sovereign wealth fund. Norway's sovereign wealth fund is 2.5 trillion, pays for all social services. It is stock ownership on behalf of the people. You're going to reiterate that with actual ownership, where people get to see their own accounts and see what they have in the form of Trump accounts. The infrastructures are even laid for both of these. I want to also be clear, Japan already owns 8% of the Nikkei. This is not new. People like oh I can't that can never happen it literally happened for 20 years in Japan and They printed money and they bought stocks. This is this is the you know This will not be a new idea. And by the way, it's been incredibly successful in Japan Hmm and how's that sovereign wealth fund worked out for Norway? That's worked out pretty well So very easy to justify And in the process, it will not only allow the U.S. to compete with China, and we're going to do a, this is a, you know, America first will be strategic investments, right? It'll be very politically popular within the MAGA side of things, but it will also be very popular among the populace because it's going to be right wing populism all to the end at the end of the day. It's going to be, instead of taxing the rich to give the poor, they're going to take 10, 20% ownership in these businesses, tax the rich, right?

But they're going to essentially buy in the public into stocks. This prevents a too big to fail market going down. It drives economic growth. It allows competition with China. It short circuits the K shaped economy by forcing everyone to be singularly invested into the equity market. And at the end of the day, it monetizes the debt. It's the way out. Now, the risk, I'm not saying this is easy or this is what they want to do. I said this before, but everybody's got a plan until they get punched in the mouth, right? In the words of Mike Tyson, what is, what's the risk to this? Well, China doesn't want this to happen. And as we already highlighted, all the fragility in the system means this is very dependent on control, on the administration itself being able to deploy this without being legally or, you know, what happens? This world, there's all kinds of like, Fragility, this is like Minsky, right? It's like built into the system. What drives the loss of control? It could be an

assassination. It could be any number of things. It could be a cyber whatever. And I'm not gonna point my finger on what that thing is, because we don't know. But to say, oh, it's a black swan is missing the point is that the fragility is embedded in the system and they are trying to shoot the moon.

And they have good cards and they can drive it and they're going to do whatever they can. But if you think it's without risk, this is about as big a risk as it exists. This is risking the empire. This is risking the exorbitant privilege of the dollar. And this is the game we're in right now. Curious. I mean, obviously you're talking about control. I mean, there is a natural timeline on this for kind of halfway through this administration. If this is the actual end game, then presumably we're seeing this playing out, starting to play out next year. If things chug along, if the equity market stays at these levels, we don't see that big correction, then what? Then they're going to try and deploy this at all times, all time highs. And they are going to have to manage and control the unpopularity of that.

And what you can expect, regardless, by the way, is a trend towards greater and greater control and authoritarianism. Because they don't have a choice but to try and deploy it. They prefer to do it in a way, right, through free markets, where they don't need as much control, where it's broadly more modular. But you're getting this one way or another. Because they have no choice. Which, by the way, would not mean we have a crisis. That would mean like a blow off inflationary loop that starts a crisis. an inflationary boom. I mean, does that change your, it sounds like a change of view. I mean, for a long time we've been talking about the inflationary period, the 1966 to 82 period, equities traded sideways up and down. It's not a change of view.

There's not a change of view at all. I'm telling you inflation's coming. I've been telling you inflation's coming for a long, long time. Well, the interest rates were zero. Well, the pressure's been there for five years. So that's hurting you. We've been talking about this for six years. When interest rates were zero, we were patting the table on this. But you've got two very distinct scenarios there. One is the prolonged bear market punctuated by bull markets. Bear market rallies, effectively. And you look back after 15

years and the things happened. Or you're talking about an inflationary, money-printed equity boom, which presumably would, like with Japan, you give the example of public ownership of Japan. It's fueled a massive equity rally there. So which scenario is more likely? I want to be clear. You're focused on the equity outcome in nominal terms. I'm really focused on the equity outcome in real terms. And I have been from the very beginning.

I've said very much from 1968 to 1982 that markets lost 40% of their value in real terms. But it's not. Again, we all live in a world of nominal illusion. 1962 to 82, 20 years, 60, 41, nowhere. And by the way, matches, that 20-year period matches 1929 to 1949 in real terms. But Psychologically and this is why we do this now as opposed to none of it Psychologically everybody thinks of 29 to 49 as the Great Depression Which is a reason why we went off the gold standard went to fiat and instead drove it through The inflation around the two are the same It's just a matter of doing it in a fiat world where you exert it through inflation as opposed to a nominal outcome. So I think the great the flaw or the mistake in that question is assuming that the inflation is any is any better than the market deflation. Are you saying we're going to see double-digit inflation then for a period of time? Yes. Okay, well that would resolve us. Yeah, fair enough. Yes. I think you're going to see inflation as bad if not worse, probably worse in the six seasons. Yeah.

Now, I'll let one little caveat to that. We're not completely, I didn't mean to completely dismiss that out of hand. I think it's fair up to some extent, which is we didn't buy equities in the 60s and 70s. We did, through Arthur Burns, drive real interest rates negative and drive inflation, which I think was very much a purpose. And we will do that again, but at greater scale. The difference is we... Are going to instead of tax the rich give to the poor great society program yada yada, which we did in 67 because we've learned from that mistake Try and drive Not taxing the rich and giving to the poor Instead tax the rich give to the poor not allow the poor to spend that money Because we're gonna do it through the equity market channel. We're gonna hold the sovereign wealth fund on your behalf We're gonna deploy Trump accounts where you can't sell this is for your children for 20 years Now whether that flies whether after two and a half years of this whether the next administration says You know whether the people are okay with this what

China doesn't response my point is we're going down the same alley We're trying to historic like it rhymes. Everything's very similar But this administration is trying to now react to the what happened last time and say okay. We had a better solution I'm skeptical that it really works as smoothly as they're hoping and my best guess is that we end up in real terms, which is really how you have to look at this in a very similar outcome. Good stuff. I'm just conscious we're up at the hour. Was there anything else? I'm just looking at my notes. We had covered a lot of themes. Was there anything we missed or any particular points you wanted to make that we hadn't got to? Well, I think anybody listening to this just feels probably powerless. Like, what do I do? And I think I'll end with 60-40 at its core is a success over the last 40 years is a function of interest rates going top left to bottom. And the reason we haven't seen a reset on the bond side, we keep talking about the bond side, but the reason we haven't seen the equity side is because of what we started the whole conversation with, which is this lag to the refinancing of the debt.

He had a concerted effort by the administration proactively to try and drive CAPEX to keep things going in the equity market. But no, at its core, interest rates and inflation keeping the long end of the curve higher and higher inflation. Ultimately, the only way out of this is either equity markets lower because of multiples or massive inflationary outcome. And in this inflationary outcome, your greatest risk to your wealth, equities may not be the answer for you. Bonds definitely won't be the answer for you. Is to hedge that structural inflation. So please, by all means, do everything you can to manage that debasement. And importantly, make sure you're diversified. Make sure that you can benefit from different outcomes of different things that are unrelated to equities and bonds. And I think that's something that most people aren't used to. And most people are recency bias machines. We just look at the patterns of our lives and say, well, this has worked. So this has got to work. But I really encourage people not to wait a year or two at this point, because I think we're up against those changes as we speak from the equities side of things as well.

Good stuff. Well, diversification and looking at all terms of sources of return is definitely a message for all of us here at Top Traders. So thanks very much, Gem, for joining us again. Niels will be back next week. So if

you've got questions, it'll be Niels in the chair. But thanks for tuning in. We'll be back again soon. So from all of us here at Top Traders, Unplugged, talk to you soon. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, the best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.

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